

Chapter-2

People as Resource

Date: / /

⇒ Overview :

- Population as an asset for the economy rather than a liability.
- Human resource is further developed by becoming more educated and healthy, we call it 'human capital formation'.

⇒ Economic Activities by Men and Women :

- Economic activities are developed purpose activities and wealth producing activities. It creates economic and financial gain by producing goods and services and adds value to the national income.

⇒ Sectors Under Economic activities :

- (i) Primary Sector,
- (ii) Secondary Sector.
- (iii) Tertiary Sector.

(a) Primary Sector :

- Primary sector known as agriculture sector.
- Primary sector consider directly using natural resources.
- Primary sector include activities like forestry, animal husbandry, fishing, poultry, farming, mining and quarrying.

(b) Secondary Sector :

- Secondary sector is known as manufacturing sector.
- This sector consider manufacturing of goods.

(c) Tertiary Sector :

- Tertiary Sector is largest contributor in GDP of India 74% +.
- Tertiary Sector is also considered service sector.
- This sector include all type of services like banking, education etc.

⇒ Two parts of Economic activities :

- (i) Market activities
- (ii) Non-market activities.

(a) Market activities :

Market activities consider production of goods or services including government services for remuneration.

(b) Non-market activities :

- Activities which are not done for commercial purpose and done for self consumption.
- Also known as Subsistence Farming.

⇒ Work Performed under Economic Activities

- There are huge difference between economic activity performed by men and economic activity performed by women.
- Women look after domestic affairs like cooking of food, washing of clothes, cleaning of utensils etc.
- Men are paid for their work on the contrary women are not paid for their performance in the house.
- The work done by men is recognized in the National Income whereas the household work done by women is not recognized in the National Income.

⇒ Quality of population:

Quality of population is mainly in literacy, Rat, Infant mortality rate, health of population. Literate, young and healthy population is a Asset of a country.

(i) Education:

- Education is the process of learning for acquisition of knowledge. It is an important input for growth of a person.

- Development of a country is basically depended on literacy rate. When a person is educated then a family can be educated. After that Society can be educated and hence literacy rate of the country can increase.
- An educated person can earn more income compared than an uneducated person because of their skill. For this term, National Income of a country can increase.
- Governance efficiency can also be enhanced through learning process.

(iii) Health

- An unhealthy person is burden for a country in terms of economics. A Healthy mind create healthy environment. For development of a country, healthy environment is compulsory.
- In India, states like Bihar and Uttar Pradesh have few medical colleges. These states have poor health conditions.
- On the other hand, four states Karnataka, Andhra Pradesh, Tamil Nadu and Maharashtra have majority in number of medical colleges with 81 medical college out of 181.

- In India, infant mortality rate has come down from 147 in 1951 to 34 in 2016.
- Crude birth rates have dropped to 20.4 and death rates to 6.4 in 2016.
- crude birth rate is the number of living birth occurring in a given geographical area per 1000.

⇒ Unemployment :

- Unemployment is a phenomenon that occurs when a person want to do work but unable to find work. (Involuntary emp)
- Unemployment is liability to the nation. It leads to wastage of manpower resources.

Two type of unemployment Found in rural areas

- (i) Seasonal unemployment
- (ii) Disguised unemployment.

(a) Seasonal unemployment :

- In case of Seasonal unemployment people are not able to find jobs during some month of the year.

- Generally, in agriculture sector this kind of problem is visible. In agriculture sector, some seasonal foodgrains are produced. So the farmers are employed only in that particular season.

(ii) Disguised unemployment :

- Disguised unemployment happens when people seems to be employed, but in reality unemployed.
- For example : in agriculture sector the field require 2 person but 4 are working in it. So it show The 2 person are extra. there and it seems they are employed but actually they are unemployed.

⇒ Urban areas unemployment :

- In urban areas educated unemployment are, seen. This problem occur when an educated person is willing to work but he/she unable to find work (Involuntary unemployment).
- Number of graduated and post-graduated unemployed has increased faster than matriculates unemployed.

⇒ Infant mortality rate (IMR) : Infant mortality rate is the death of a child who is come under one year of age. It is measured by number of death of children under one year of age per 1000 live birth.

⇒ Birth rates : It is the number of babies born there for every 1000 people during a particular period of time.

⇒ Death Rate : Number of people died per 1000 in a particular period of time.

⇒ Gross National product : $GDP_{mp} + NFIA$.

money value of all final goods and service produced by a Resident of a country in a given time period.

⇒ National Income : $GDP_{mp} + NFIA - Dep - NIT$.
(NNP_{fc})

Refers to the sum total of value of all final goods and service produced by a country in a given time period.

⇒ Human Capital : Human capital is the stock of skill and productive knowledge embodied in human being.

⇒ Human Capital Formation.

Human capital formation includes the process of training, medical care etc. Education and Health are the source for the human capital formation.

⇒ People as resources: It is a way of referring to a country's workforce in terms of existing skills and abilities.

